Australian Competition & Consumer Commission

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Our Ref: 42410
Contact Officers: Darren Toh, Nick Cooke
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2 September 2010

Dear interested party,

Scandinavian Tobacco Group A/S – proposed acquisition of Swedish Match AB

The Australian Competition and Consumer Commission (**ACCC**) is currently reviewing the proposed acquisition by Scandinavian Tobacco Group A/S (**STG**) of Swedish Match AB (**SM**) (the **proposed acquisition**) to determine whether it would have the effect, or likely effect, of substantially lessening competition in a market, as required by Section 50 of the *Trade Practices Act 1974* (**the Act).**

The ACCC's review of the proposed merger is still ongoing, and the ACCC has not formed a final view as to whether the proposed merger is likely to substantially lessen competition under section 50 of the Act.

In seeking the ACCC's approval of the proposed acquisition, SM and STG have offered to divest the following brands to an independent party/s for ongoing supply in Australia:

- the Wee Willem and Willem II cigar brands; and
- the Erinmore pipe tobacco brand.

This divestiture proposal is offered in the form of a court-enforceable undertaking under section 87B of the Act (the **proposed undertaking**), a copy of which can be found by following the 'Public register' link to the ACCC's 'Mergers register' on the ACCC's website at www.accc.gov.au.

I welcome any comments that you may wish to make generally in relation to the proposed undertaking offered by STG and SM, and whether the proposed undertaking would be sufficient to ensure that the proposed acquisition would not substantially lessen competition in any market. The specific issues on which we would appreciate your response are outlined at **Attachment A**.

While written comments are greatly appreciated, you are also welcome to discuss the matter by telephone if that is more suitable. Your contact should be Darren Toh on (02) 9230 9183 or Nick Cooke on (02) 9230 3858. Alternatively, correspondence can be emailed to mergers@accc.gov.au: attention Darren Toh and Nick Cooke.

If any information provided is of a confidential nature, you can be assured that the details provided by you will be treated confidentially. That is, the ACCC will not disclose the confidential information to the merger parties or other third parties, other than advisors or consultants engaged directly by the ACCC, without first providing you with notice of its intention to do so, such as where it is compelled to do so by law. Please note that any information provided which you believe to be of a confidential nature should be clearly marked or identified as confidential.

The ACCC requests comments and responses by **5:00pm** on **10 September 2010**.

Yours sincerely

Rami Greiss
General Manager
Merger Investigations Branch

ATTACHMENT A

Proposed divestitures – Wee Willem and Willem II cigar brands, Erinmore pipe tobacco brand

1. Please address the extent to which:

    (a) the Wee Willem and Willem II cigar brands; and

    (b) the Erinmore pipe tobacco brand;

    would be sufficient to provide a commercially practical business and an effective competitive alternative to the merged firm in Australia, in terms of brand loyalty, market positioning, product quality, sales volumes, distribution arrangements or any other relevant factor.

2. STG proposes to retain ownership of the Erinmore pipe tobacco recipe and supply the Erinmore pipe tobacco products at cost to the purchaser of the Erinmore brand. Please address the extent to which this arrangement would allow the purchaser to maintain effective and independent competition to the merged firm

3. Please address the extent to which contract or toll manufacturing by the merged firm, for a six month transitional period until the purchaser/s of the divested brands arrange independent manufacturing of the relevant products, would maintain effective and independent competition to the merged firm.

4. Please identify any transitional issues that would arise prior or subsequent to completion of any divestitures such as the maintenance of the value of the relevant divested brands and any other intellectual property, security of existing sales volumes, retention of any key staff, necessary third party approvals, distribution arrangements, and the orderly continuation of supply of essential inputs (e.g. packaging).

Possible purchaser/s of the proposed divested brands

5. Please identify any likely purchaser/s of the Wee Willem and Willem II cigar brands and/or the Erinmore pipe tobacco brand.

6. Are there any potential purchasers of the brand/s who would cause you concern in relation to the competition in any market? Are there any potential purchasers of the brand/s which would not address competition concerns that may otherwise arise as a consequence of the proposed acquisition? In responding to these questions, please provide an explanation why the potential purchaser would give rise to concerns.